



1PGDM01 || Managerial Accounting -I CEC – 1 (20 Marks)

Preparation of Cost Sheet and Cost-Volume-Profit (CVP) Analysis of a Manufacturing Company

Objectives

- To provide students with practical exposure to cost accounting in a real-world production environment.
- To understand the production process and identify cost elements.
- To develop an understanding of cost components involved in manufacturing a product.
- To enhance students' ability to classify and calculate production costs effectively.
- To apply Cost-Volume-Profit (CVP) and break-even analysis.
- To develop teamwork, analytical, and presentation skills.

Learning Outcomes

- Classify and analyse cost components within a manufacturing environment.
- Apply CVP analysis to determine break-even point, contribution margin, and profit planning.
- Prepare structured analytical reports and present findings effectively.

Units Covered

Basic Instructions

1. Groups of 6-7 students will be formed.
2. Each group must select **a manufacturing company** (with faculty approval).
3. **A company visit must be conducted to observe and collect actual information.** If certain actual data is unavailable, reasonable estimates (especially for overhead costs) may be used.
4. Document Contents:
 - Introduction: Provide a brief introduction of the selected manufacturing company, including its nature of business and product line.
 - Production Process: Summarize the key steps in the production process to give context to the cost structure.

- Cost Sheet: Present a detailed cost sheet using Excel, showing all classified costs and the per unit cost calculation.
- Cost volume profit (CVP): Perform cost-volume-profit (CVP) analysis and determine the break-even point
- Observations and Suggestions: Offer insights based on the cost data collected and provide suggestions for cost optimization, if applicable.
- Visuals: Attach pictures of the production unit to authenticate the visit and enhance the presentation also take videos and showcase at the time of the presentation.

5. Submission: The final **15–20 pages report**, including the cost sheet and other components, must be uploaded to the ERP system (soft copy report should be submitted by all students individually on ERP and one hard copy report by the group).

6. Presentation: A **10–12-minute group presentation** will be conducted in class

Suggested Steps

Step 1: Group Formation & Company Selection

- Check your group.
- Select the company by obtaining the approval from faculty.

Step 2: Pre-Visit Preparation

- Research industry background and company details.
- Prepare a checklist of required data points.
- Draft questions for company staff.

Step 3: Company Visit & Data Collection

- Observe production and note cost-related activities.
- Collect data on raw materials, labour, overheads, sales volumes, and pricing.
- Interview managers (if possible) to understand profit model.

Step 4: Cost Structure Analysis

- Identify and classify various costs involved in the production process, including direct materials, labour, and overheads
- Per Unit Cost Calculation: Use the gathered data to prepare a comprehensive cost sheet and calculate the per unit cost of the product(s) manufactured. This should be done using Excel for ease of calculation and presentation.

Step 5: CVP Analysis

- Perform cost-volume-profit (CVP) analysis
- Determine Break-Even Point (units and sales value).

Step 6: Report Preparation

Suggested format:

1. Introduction & Company Profile
2. Methodology (visit, data sources, tools used)
3. Cost Structure Analysis
4. CVP Analysis
5. Key Findings
6. Conclusion & Recommendations
7. References
8. Annexures

Step 7: Group Presentation

- Summarize findings in a **10 – 12 minutes PPT**.
- Use visuals (graphs, break-even charts, CVP diagrams).
- Ensure every member contributes.

Notes:

- Ensure accuracy in the classification and calculation of costs.
- Collaborate effectively within your group to divide tasks and gather comprehensive data from the production unit.
- Maintain professionalism when interacting with the enterprise representatives to obtain the required information.
- It must be in PDF format with proper formatting. [Even if printed report is required, it must be done after converting to pdf format]
- Font type to be Times News Roman and Font Size should be 12 for body and 14 for headings. Paragraph spacing should be 1.5.
- The report of the project can be in black and white. (It is preferable that some pages having charts or graphs can be coloured as per your requirement).
- The first page should be the title page as attached.
- Make sure your assignment is uniformly formatted with all information as instructed.
- Plagiarism report has to be attached at the end of the project. The plagiarism report should not have similarity of more than 30%.
- **Submission Date of Report on ERP – 7th October 2026**

Annexures

- Title Page of the Project
- Format of Contact Details of the person visited
- List of Group Members



**Preparation of Cost Sheet and Cost-Volume-Profit (CVP)
Analysis of _____ (Company Name)**

**1PGDM01 || Managerial Accounting -I
PGDM-Trimester-1**

CEC 1- Project (20 Marks)

Submitted by:

Your Name: *Name & Surname*

Your Batch: *Alpha/Beta/Gamma/Delta*

Your Roll No: *01*

Group Code: *A1/B1/G1/D1*

Group Members Name and Roll No.

Under the Guidance of,

Dr. Reshmi Banerjee

Assistant Professor

October – 2026